

Basic Principle of Management

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Outline

What is organization

What is Management?

Four functions of management

Role of Manager

Level of Management

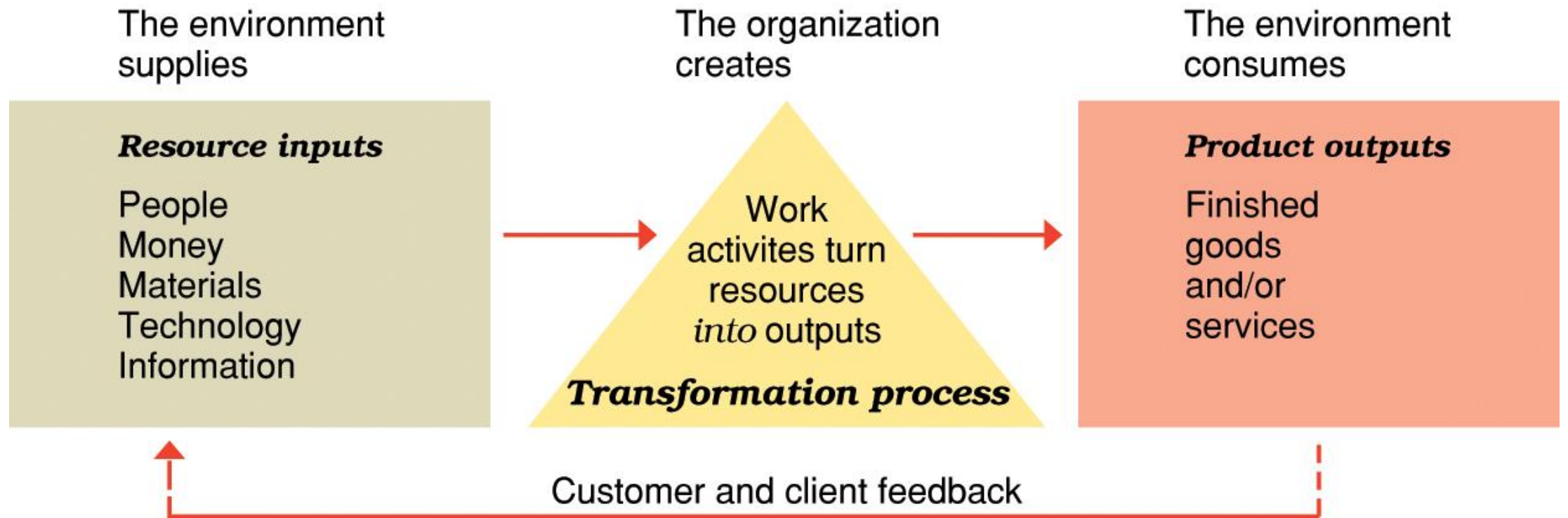
Essential management skills

Area of Management

What is organization?

- A collection of people working together to achieve a common purpose
- Organizations provide useful goods and/or services that return value to society and satisfy customer needs

Organizations as open systems interact with their environment





Organizational performance

- Value creation” is a very important notion for organizations
 - Value is created when an organization’s operations adds value to the original cost of resource inputs
 - When value creation occurs:
 - Businesses earn a profit
 - Nonprofit organizations add wealth to society
-

Organizational performance



Productivity

An overall measure of the quantity and quality of work performance with resource utilization taken into account



Performance effectiveness

An output measure of task or goal accomplishment



Performance efficiency

An input measure of the resource costs associated with goal accomplishment

Productivity and the dimensions of organizational performance



What is Management?



Management is the process of coordinating people and other resources to achieve the goals of an organization.



Harold Koontz and Heinz Weihrich: "Management is the process of designing and maintaining an environment in which individuals, working together in groups, efficiently accomplish selected aims."



Peter Drucker: "Management is doing things right; leadership is doing the right things."



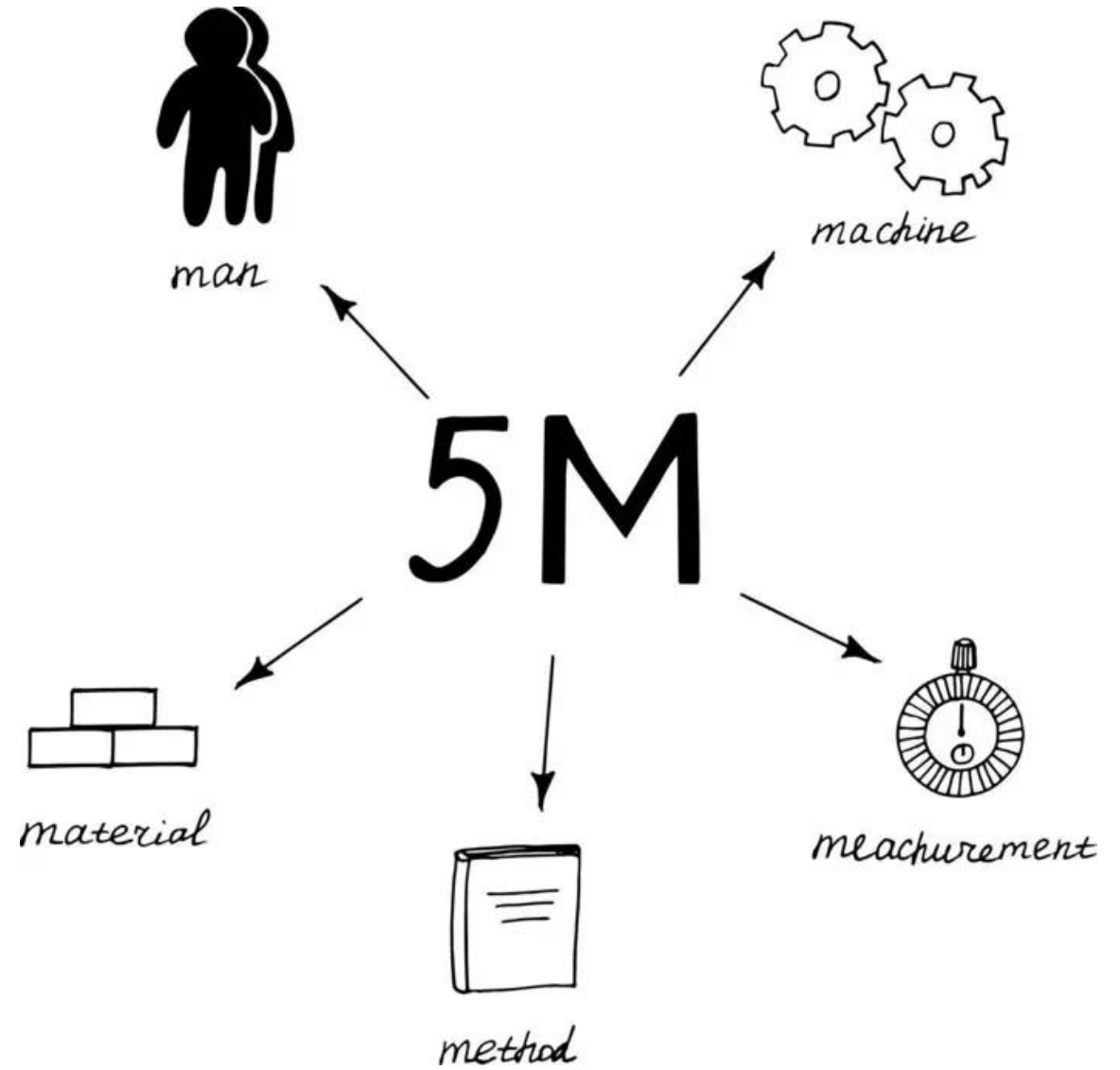
Henry Fayol: "To manage is to forecast and plan, to organize, to command, to coordinate, and to control."



Mary Parker Follett: "Management is the art of getting things done through people."

Resources of Management

The essential inputs required for organizations to achieve their goals. These resources are often categorized as the "**5 Ms**" of Management (Man, Machine, Material, Measurement, Method)



5Ms of Management ⁽¹⁻³⁾

1. Man

- Refers to human resources, the workforce, or employees within an organization.

2. Machine

- Represents the tools, equipment, and technology used in production or service delivery.

5Ms of Management ⁽²⁻³⁾

3. Method

- Refers to the processes, procedures, and strategies used to accomplish tasks or objectives.

4. Material

- Represents the raw materials, supplies, and resources needed to produce goods or services.

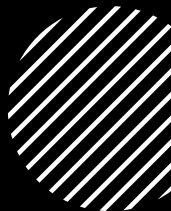
5Ms of Management (3-3)

5. Measurement

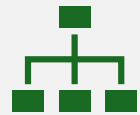
- Refers to the tools and systems used to monitor performance, track progress, and evaluate success.



The management process



Managers achieve high performance for their organizations by best utilizing its human and material resources



Management is the process of planning, organizing, leading, and controlling the use of resources to accomplish performance goals

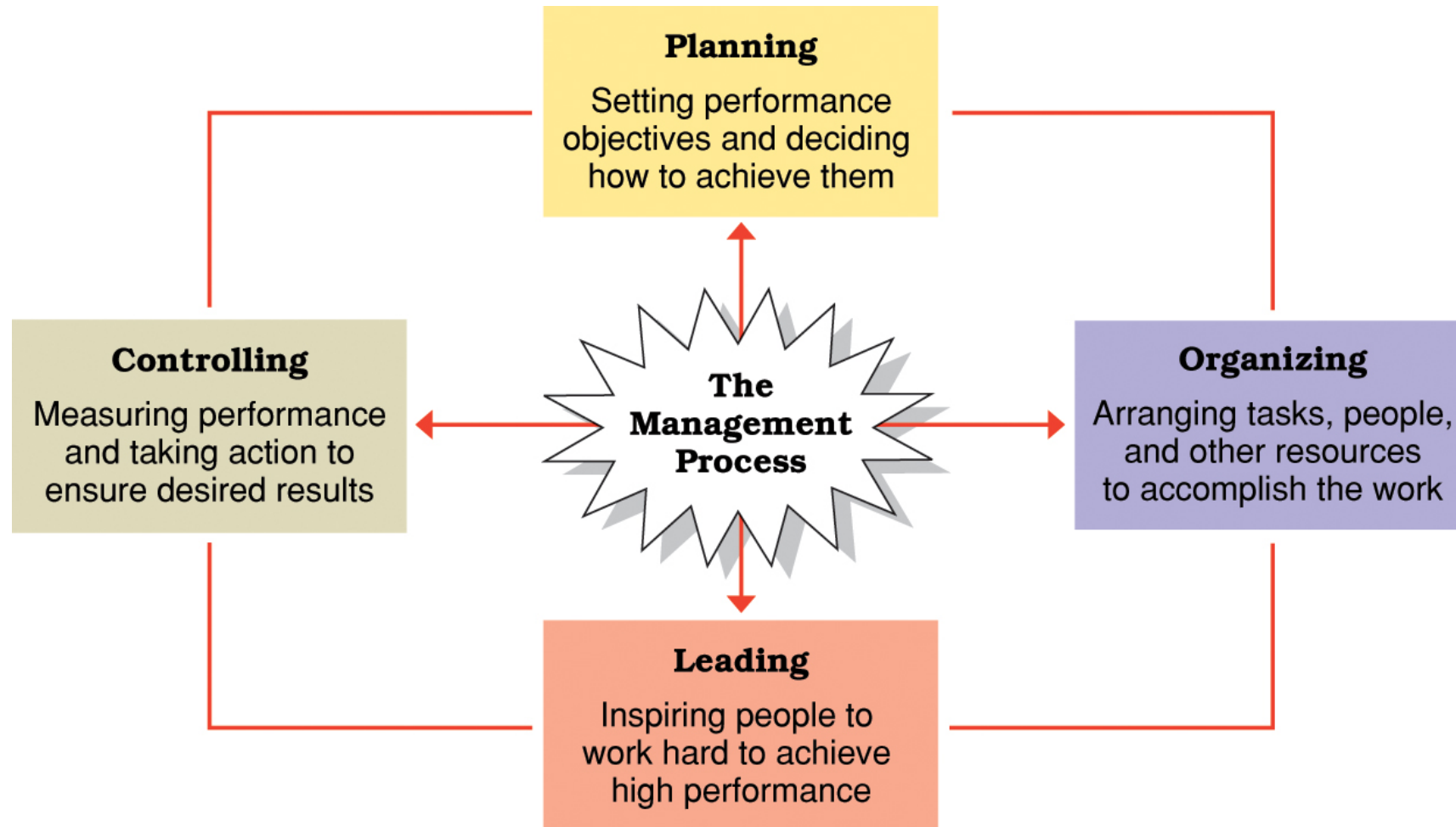


All managers are responsible for the four functions



The functions are carried on continually

Four functions of management



1.Planning

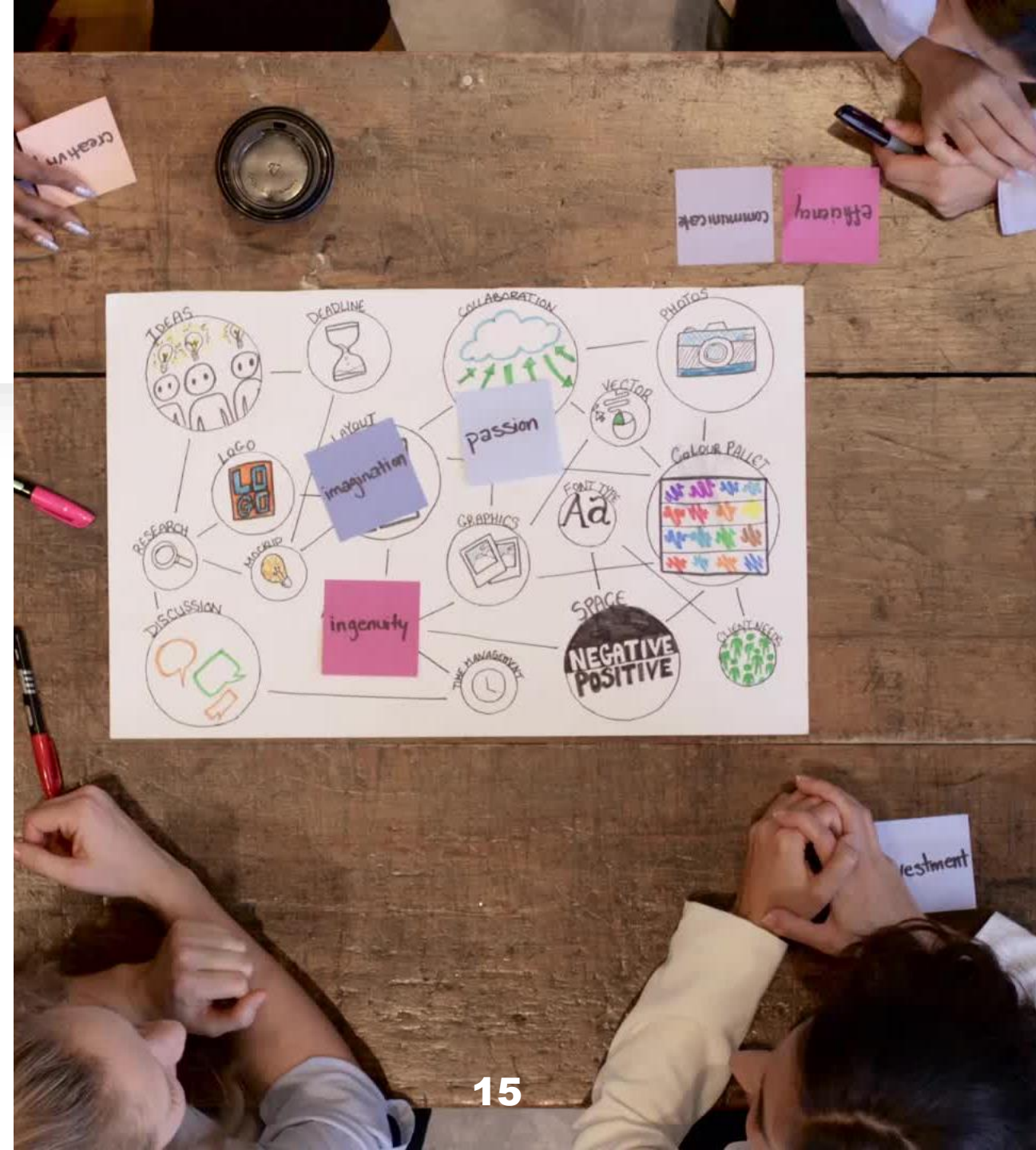
Planning – what an organization needs to do and how best to get it done.

➤ Mission

A statement of the basic purpose that makes an organization different from others.

➤ Strategic planning

The process of establishing an organization's major goals and objectives and allocating the resources to achieve them.



Establishing Goals and Objectives

- **Goal**
An end result an organization is expected to achieve over a one-to ten-year period.
- **Objective**
A specific statement detailing what the organization intends to accomplish over a shorter period of time.



Establishing Goals and Objectives

Purposes of goal-setting:

- Direction/guidance
- Resource allocation
- Define corporate culture
- Assess performance

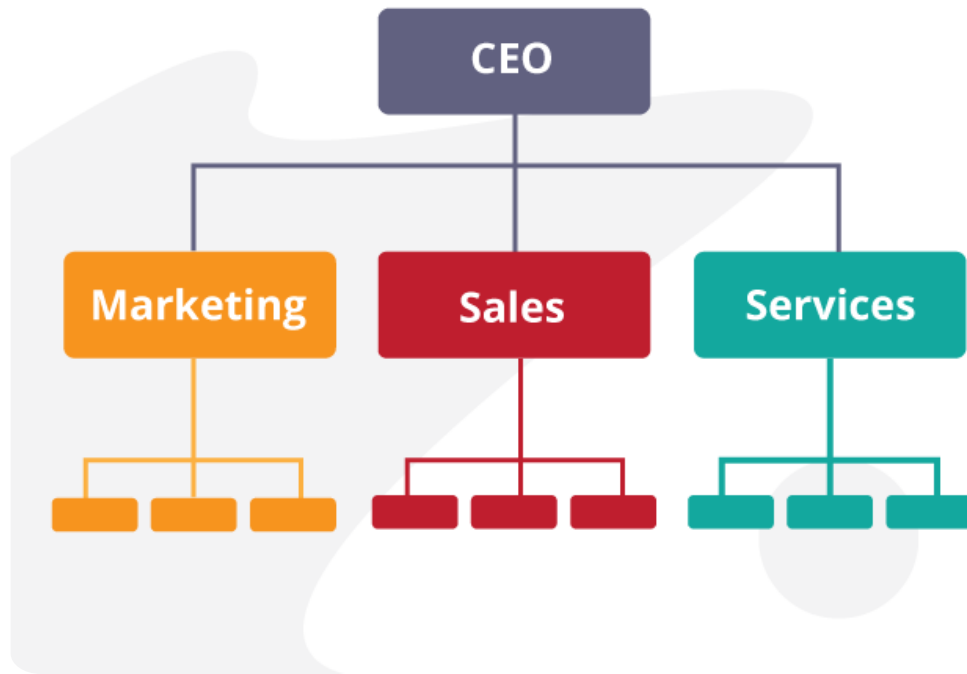
Three different levels:

- Long-term goals (> 5 Yrs)
- Intermediate goals (1-5 Yrs)
- Short-term goals (< 1 Yr)

Types of Plan

- **Strategic plan** – reflecting decisions about resource allocations, company priorities, and steps needed to meet strategic goals by top management team.
- **Tactical plan** – generally short-range plan concerned with implementing specific aspects of a company's strategic plans.
- **Operational plan** – plan setting short-term targets for daily, weekly, or monthly performance.
- **Contingency plan** -- plan that outlines alternative courses of action that may be taken if other plans are disrupted or become ineffective.

FUNCTIONAL



2. Organizing

Organizing is the grouping of resources and activities to accomplish some end result in an efficient and effective manner

3. Leading

A manager leads and motivates employees to meet the firm's objectives.

- **Leading** is the process of influencing people to work toward a common goal.
- **Motivating** is the process of providing reasons for people to work in the best interests of the organization. Together, leading and motivating are often referred to as directing.

4. Controlling

Controlling is the process of monitoring and regulating ongoing activities to organization's performance to make sure that a firm is meeting its goals.



Importance of human resources and managers

People are not
'costs to be
controlled'

High performing
organizations treat
people as valuable
strategic assets

Managers must
ensure that people
are treated as
strategic assets

Who are managers and what do they do?

- **Manager**

- Directly supports, activates and is responsible for the work of others
- The people who managers help are the ones whose tasks represent the real work of the organization



Five Challenges to being a manager

Managing Diverse Team

- Leading employees with varying cultural, generational, and skill-set differences.

Balancing Team Goals with Organizational Objectives

- Aligning individual and team efforts with broader organizational goals.

Adapting to Change

- Navigating and implementing changes like technological updates, new policies, or organizational restructuring.

Handling Performance Issues

- Addressing underperformance or conflicts among employees.

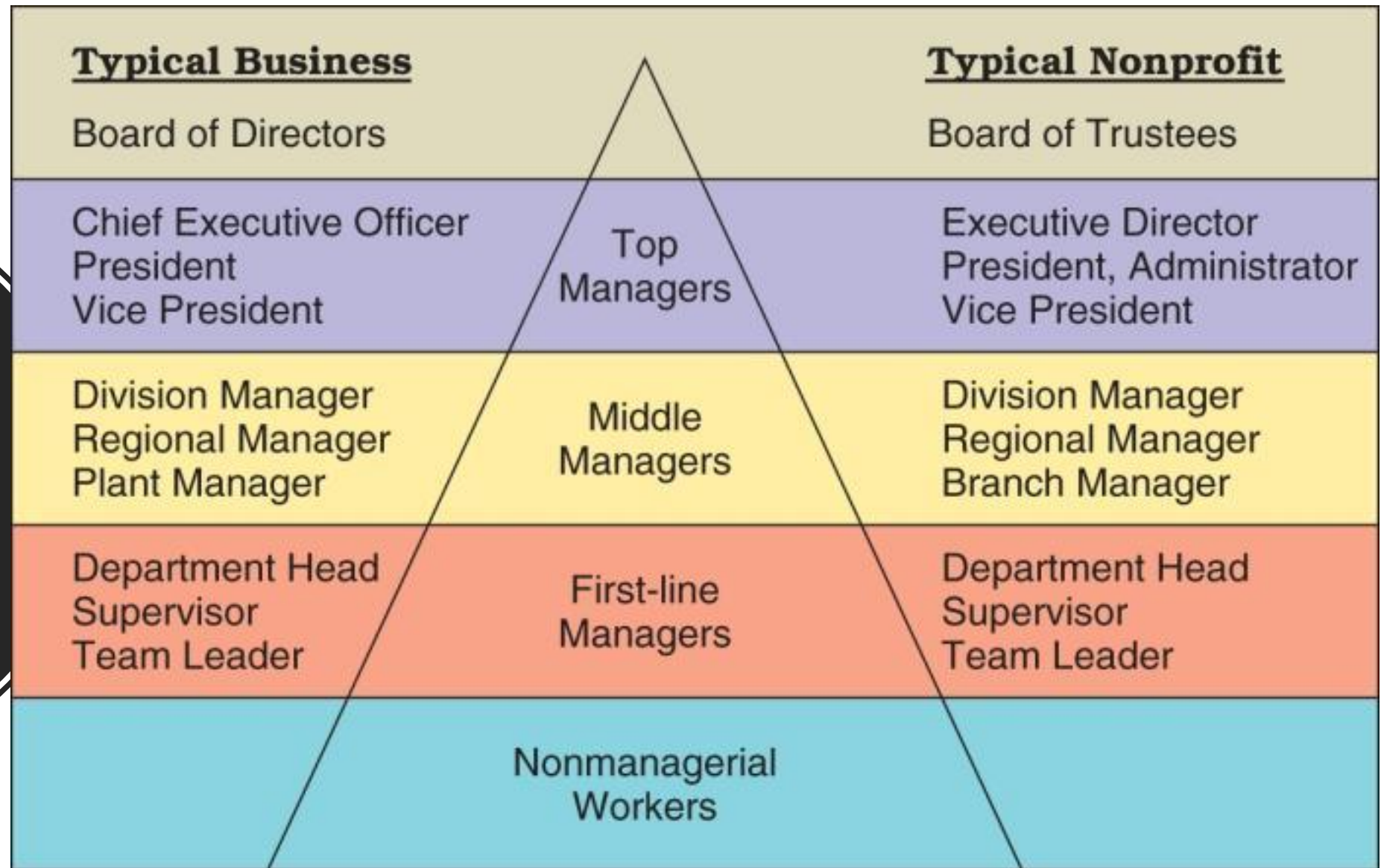
Time Management and Prioritization

- Balancing managerial responsibilities, strategic planning, and team needs.

Levels of management



**Management
levels in a
typical
business and
non-profit
organizations**



Types of managers

- ***Line managers*** are responsible for work activities that directly affect organization's outputs
- ***Staff managers*** use technical expertise to advise and support the efforts of line workers
- ***Functional managers*** are responsible for a single area of activity
- ***General managers*** are responsible for more complex units that include many functional areas
- ***Administrators*** work in public and nonprofit organizations

Managerial performance and accountability

Accountability is the requirement of one person to answer to a higher authority for relevant performance results

Effective managers fulfill performance accountability by helping others to achieve high performance outcomes and experience satisfaction in their work

Mintzberg's 10 Managerial Roles

Interpersonal roles

How a manager interacts with other people

- Figurehead
- Leader
- Liaison

Informational roles

How a manager exchanges and processes information

- Monitor
- Disseminator
- Spokesperson

Decisional roles

How a manager uses information in decision making

- Entrepreneur
- Disturbance handler
- Resource allocator
- Negotiator

Katz's Essential Managerial Skills

**Lower-level
managers**

**Middle-level
managers**

**Top-level
managers**

Conceptual skills—The ability to think analytically and achieve integrative problem solving

Human skills—The ability to work well in cooperation with other persons

Technical skills—The ability to apply expertise and perform a special task with proficiency

Essential management skills ¹⁻³

Digital and Technological Literacy

- The ability to understand and leverage technology to streamline operations and decision-making.

Adaptability and Change Management

- The ability to lead teams through organizational changes and adapt to evolving circumstances.

Essential management skills ²⁻³

Emotional Intelligence (EI)

- The capacity to understand and manage your own emotions while empathizing with others.

Sustainability and Ethical Leadership

- Leading with an emphasis on environmental, social, and governance (ESG) principles.

Essential management skills ³⁻³

Data-Driven Decision-Making

- Using analytics and insights to inform decisions and optimize processes.

Collaboration and Cross-Functional Leadership

- Leading teams that span different departments, regions, and skillsets.

Area of Management



Strategic Management



Operations Management



Financial Management



Human Resource Management (HRM)



Marketing Management



Information Technology (IT) Management



Supply Chain and Logistics Management

Area of Management ¹⁻⁴

1. Strategic Management

- Setting the organization's direction and ensuring long-term goals are achieved.
- Activities:
 - Formulating vision, mission, and strategy.
 - Allocating resources for competitive advantage.

2. Operations Management

- Managing day-to-day activities and processes for delivering goods or services.
- Activities:
 - Process optimization.
 - Quality assurance.
 - Resource management and workflow efficiency.

Area of Management ²⁻⁴

3. Financial Management

- Planning, organizing, controlling, and monitoring financial resources.
- Activities:
 - Budgeting and financial planning.
 - Investment analysis.
 - Cost control and financial reporting.

4. Human Resource Management (HRM)

- Managing the workforce to maximize productivity and employee satisfaction.
- Activities:
 - Recruitment and talent management.
 - Training and development.
 - Compensation, benefits, and labor relations.

Area of Management ³⁻⁴

5. Marketing Management

- Understanding customer needs and promoting the organization's products or services.
- Activities:
 - Market research and analysis.
 - Developing marketing strategies and campaigns.
 - Branding, pricing, and sales management.

6. Information Technology (IT) Management

- Using technology to enhance organizational processes and decision-making.
- Activities:
 - Managing IT infrastructure.
 - Ensuring cybersecurity and data protection.
 - Implementing innovative tech solutions.

Area of Management ⁴⁻⁴

7. Supply Chain and Logistics Management

- Managing the flow of goods, services, and information from suppliers to customers.
- Activities:
 - Procurement and inventory control.
 - Distribution and logistics planning.
 - Ensuring timely delivery and supply chain efficiency.

Q&A

